



Presents

Counter-Trend

Or

Divergence Trading

By Russ Horn

RISK DISCLOSURE STATEMENT / DISCLAIMER AGREEMENT

Trading any financial market involves risk. This report and all and any of its contents are neither a solicitation nor an offer to Buy/Sell any financial market.

The contents of this report are for general information and educational purposes only (contents shall also mean the website www.rapidresultsmethod.com or any website the content is hosted on, and any email correspondence or newsletters or postings or affiliate site as related to such website). Every effort has been made to accurately represent this product and its potential. There is no guarantee that you will earn any money using the techniques, ideas and software in these materials. Examples in these materials are not to be interpreted as a promise or guarantee of earnings. Earning potential is entirely dependent on the person using our product, ideas and techniques. We do not purport this to be a "get rich scheme."

Although every attempt has been made to assure accuracy, we do not give any express or implied warranty as to its accuracy. We do not accept any liability for error or omission. Examples are provided for illustrative purposes only and should not be construed as investment advice or strategy.

No representation is being made that any account or trader will or is likely to achieve profits or losses similar to those discussed in this report or anywhere on www.rapidresultsmethod.com. Past performance is not indicative of future results.

By purchasing and/or using any content or product including material herein contained, subscribing to our mailing list or using the website or contents of the website or materials provided herewith, you will be deemed to have accepted these terms and conditions in full as appear also on our site, as do our full earnings disclaimer and privacy policy and CFTC disclaimer and rule 4.41 to be read herewith. So too, all the materials contained within this course, including this manual, whether they appear on our domain(s) or are in physical form, are protected by copyright. "Warning: The unauthorized reproduction or distribution of this copyrighted work is illegal. Criminal copyright infringement, including infringement without monetary gain, is investigated by the authorities and is punishable with imprisonment and a fine." We reserve all our rights in this regard.

Old Tree Publishing CC, in association with www.rapidresultsmethod.com, the website, content, and its representatives including Russ Horn do not and cannot give investment advice or invite customers or readers to engage in investments through this report or any associated software or any subscription to any part of it.

The information provided in this content is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to law or regulation or which would subject us to any registration requirement within such jurisdiction or country.

Hypothetical performance results have many inherent limitations, some of which are mentioned below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and actual results subsequently achieved by any particular trading program and method or software. Old Tree publishing by users download and/or use of this report is indemnified fully by any such user in any and all and each respect possible.

One of the limitations of hypothetical performance results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk and no hypothetical trading record can completely account for the impact of financial risk in actual trading.

For example, the ability to withstand losses or to adhere to a particular trading program or system in spite of the trading losses are material points that can also adversely affect trading results. There are numerous other factors related to the market in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results. All of which can adversely affect actual trading results.

We reserve the right to change these terms and conditions without notice. You can check for updates to this disclaimer at any time by visiting www.rapidresultsmethod.com.

Governing law: This policy and the use of this report/eBook, provided in any form, and any content on the website site are governed by the laws of the Republic of South Africa. Further details on this are found under the Terms and conditions on our site. Please ensure you read and agree with all Terms and Conditions as set out on our site before using any of the materials. Your use and reliance on the materials is based on your acceptance of such Terms and Conditions and policies as appear on the site.

Counter-Trend Trading.

The trend is a great way to trade. There are several opportunities in a trend. We try to capitalize on the power moves a trend can produce.

But the truth is that there are also moves in the opposite direction of a trend. These are present, but they can be very difficult to trade as they don't happen all the time.

We can use the DPI to help us determine the right pullback to trade against the trend.

What we will be looking for is something called "Divergence".

As the market makes its highs and lows, the DPI will also make highs and lows that correspond with the moves of the market. As price makes a higher high, the DPI should also make a higher high.

There will be times when the market and the DPI will differ in opinion. For instance, the market might make a higher high but the DPI will make a lower high. This is the foundation of divergence. When we see this kind of differing of opinion, we have the potential for the market to make a move in the opposite direction.

Below is an example of your basic trend. When price moves, it will move much more in the direction of the trend and move very little in the opposite direction.



A move against the trend can often be nothing more than sideways and not even in the opposite direction. The market makes a push and then will need to rest.

In the military, these surges are called “Battle Pulses”. The Bulls and the Bears will clash for a short time and then need to rest. There is never a constant ongoing battle between the two, but rather, the battle rages in short spurts, or pulses. Sleep, attending to the wounded, clearing the battle field, and so on will constitute these resting periods. It’s a period of contentment or rest and the Bulls and the Bears are not at war with the same vigor.

A trend in the market is the same. We will see battle pulses... surges in the trend direction with rests along the way.

With that being said, some of these resting periods will have the market correcting itself. It will need to pullback to establish a kind of equal state between the bulls and the bears. Other times, the market will actually use these pullbacks to change the direction of the trend.

Because they don’t happen every time, we can use the DPI to help us determine which rest will be tradable in the opposite direction of the major trend, or “counter-trend”.

Below you can see what a tradable pullback in a trend would look like. It's not huge by any means, but it is tradable and this would have been a winning trade if you took it.



Just to be clear, a counter-trend trade is a trade against the trend.

In a down-trend, like we see above, the trend following trades would be sell trades... this is trading with the trend.

The counter-trend trade would be a trade in the opposite direction. In a down-trend, the counter-trend trade is going to be a buy trade. We will be trading towards the moving averages.

Divergence

First, we need to find the setup on the DPI that tells us that the pullback in the market is going to be a tradable one.

We are going to use something called “Divergence”. This is when the market and the indicator we are using don’t agree with each other. The indicator is giving us a kind of inside look to the market action.

Let me use this quick example to illustrate how this is going to work.

We can run up a hill. Along the way, we will need to pause every once in a while, catch our breath and get going again. We can do this a few times, but the farther we get up the hill, the more we will become tired and unable to continue, even after a break.

1. Sprint the first part
2. Run the second part
3. Jog the third part
4. Walk the forth part
5. Come back down the hill

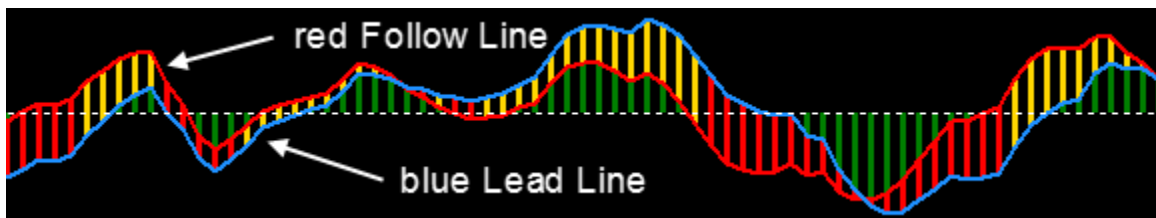
The market is our position on the hill, and the indicator is how tired we have become. Even though we can still move up the hill, we have become very tired and will need to come back down the hill.

When looking for Divergence, we have a couple of tools to look at.

We can use:

1. The Lead Line only.
2. The Follow Line only.
3. But not both together.

Divergence will show up on either the blue Lead Line or the red Follow Line. When looking for a divergent setup, we will compare the market ups and downs with the Lead Line ups and down or the Follow Line ups and downs.



The kind of divergence we will be looking for is called Regular Divergence.

We will be looking for:

1. Bullish Regular Divergence (market will go up).
2. Bearish Regular Divergence (market will go down).

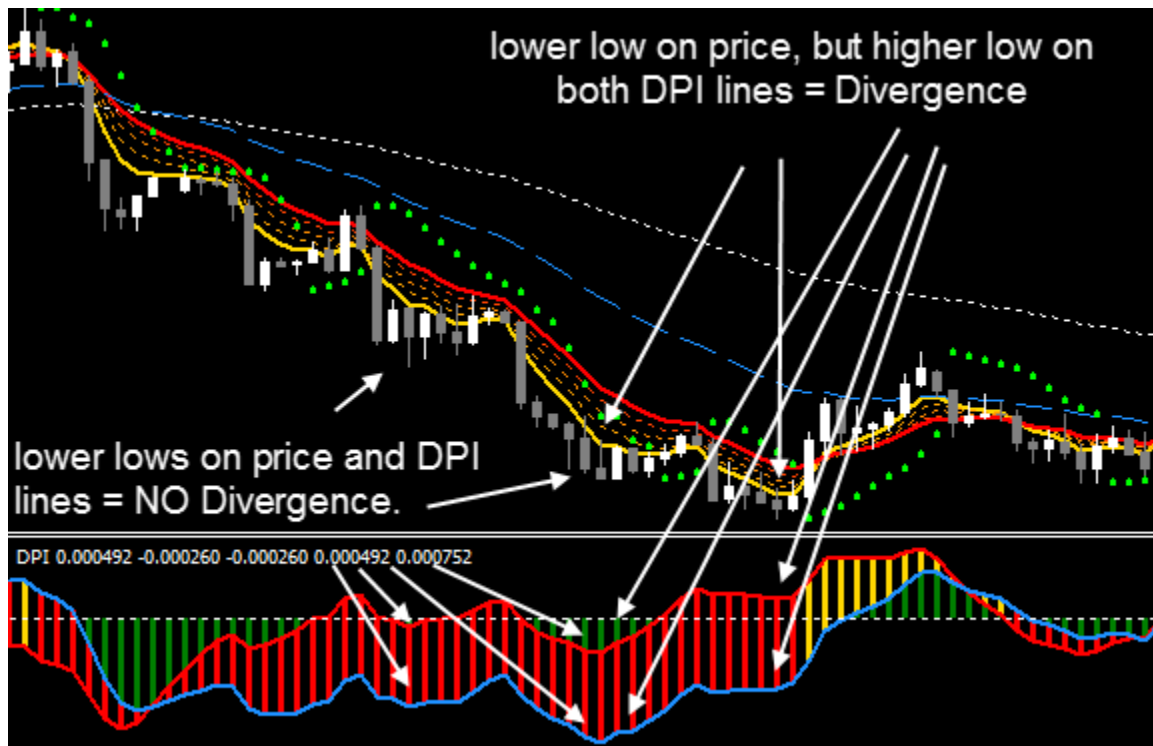
Bullish Regular Divergence

We will be looking for buy trades in a down-trend.

In order to spot Bullish Regular Divergence, we need to see distinct swing lows in the market and be able to associate them to swing lows on the DPI.

The market will make a lower low and the DPI will make a higher low.

As the market bounces its way down, it will form a swing low, come up a little bit and then make a new low that is lower than the previous one it made. These lows on the price will be reflected but both the Lead Line and the Follow line. To find Divergence, one of these DPI lines will make a low and then as the price makes a lower low, the DPI line won't be able to and instead, make a higher low.



Lots of arrows, we generally use a trendline, let's look at it again with the trendlines.

The easiest way to see that there is divergence is to draw trendlines connecting the recent lows of the price and then the associated lows on the Lead Line or the Follow Line.

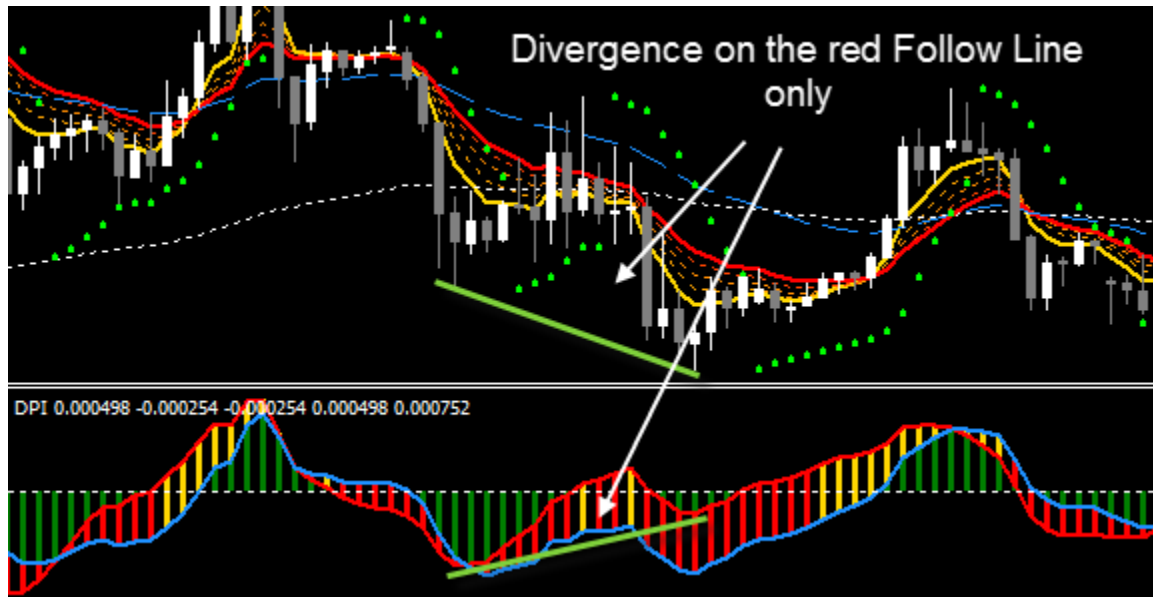
- When connecting the lows on the DPI, connect only the lows of the Lead Line or the lows of the Follow Line. You cannot connect one low of the Lead Line to the low of the Follow Line.



It's important to note that this image shows divergence on both the Lead Line AND the Follow Line. You DO NOT NEED BOTH. You can have divergence on only one of them... only the Lead Line or only the Follow line.

Below is Regular Bullish Divergence on ONLY the red Follow Line.

This is by far the most common bullish divergence. It's less common to have Lead Line divergence and not red Follow Line divergence at the same time. When the Lead Line shows weakness, the Follow line will have generally reacted to it before.



Bearish Regular Divergence

In order to spot Bearish Regular Divergence, we need to see distinct swing highs in the market and be able to associate them to swing highs on the DPI.

The market will make a higher high and the DPI will make a lower high.

As the market bounces its way up, it will form a swing high, move down a little bit and then make a new high that is higher than the previous one it made. These highs on the price will be reflected but both the Lead Line and the Follow line. To find Divergence, one of these DPI lines will make a high and then as the price makes a higher high, the DPI line won't be able to and instead, make a lower high.

The easiest way to see that there is divergence is to draw trendlines connecting the recent highs of the price and then the associated highs on the Lead Line or the Follow Line.

- When connecting the highs on the DPI, connect only the highs of the Lead Line or the highs of the Follow Line. You cannot connect one high of the Lead Line to the high of the Follow Line.



Entering a Trade

Now that we are able to spot the Divergence setups, we need to find a way to enter the trade.

Bearish Divergence Entry

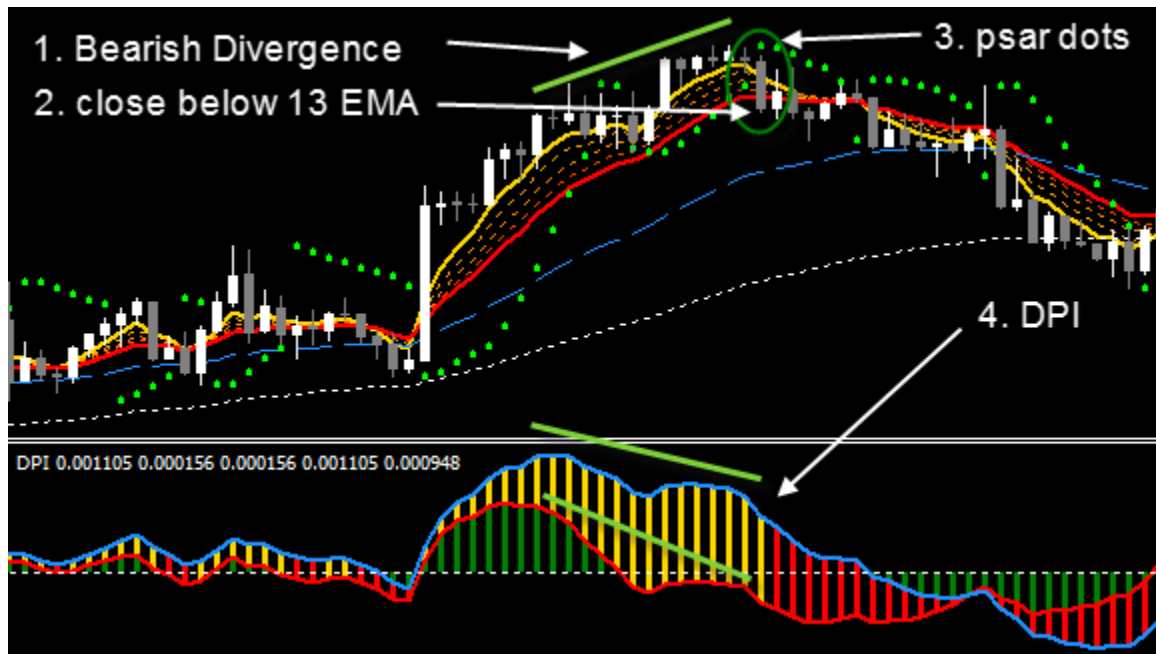
Here are the steps we need to follow for entering Bearish Divergence setup.

1. Find Bearish Divergence
2. Wait for price to close below the 13 EMA
3. PSAR dots must be above the price
4. DPI must be red (or) we get a bearish Early Entry signal
5. Stop loss goes just above PSAR dot of the entry candle
6. Take Profit is 1:1 (target whatever the stop loss amount is)
7. Manage the trade using the PSAR dots
8. Move Stop to break-even at 70% profit

Note

The 34 and the 89 EMA make excellent targets and will also provide support and try to hold the price at bay.

The first 4 steps:



The next 4 steps:



Bullish Divergence Entry

Here are the steps we need to follow for entering Bullish Divergence setup.

1. Find Bullish Divergence
2. Wait for price to close above the 13 EMA
3. PSAR dots must be below the price
4. DPI must be yellow (or) we get a bullish Early Entry signal
5. Stop loss goes just below PSAR dot of the entry candle
6. Take Profit is 1:1 (target whatever the stop loss amount is)
7. Manage the trade using the PSAR dots
8. Move Stop to break-even at 70% profit

Note

The 34 and the 89 EMA make excellent targets and will also provide resistance and try to hold the price at bay.

The first 4 steps:



The next 4 steps:

